

INTRODUCTION

A. OVERVIEW

The term “contract” is often used in common parlance to refer to a written document that records an enforceable agreement between two parties. Although lawyers do often use the term in this fashion, the term is used in a more general way in legal discourse as a reference to any enforceable promise. This broader usage is necessitated by the fact—surprising to some who are new to the subject—that oral promises may be enforceable in certain circumstances, notwithstanding the fact that they are not recorded in written form.¹ As a general matter, promises, whether oral or written, are enforceable if they are included within a “bargain” between two parties. The term “bargain” does not capture the entire subject matter of contract law, however, because it is also possible for unilateral or one-sided promises to be enforceable if they are recorded in writing in a particular formalized fashion.² The term “promise” signals that the subject of our attention consists of enforceable commitments with respect to the future. A purely contemporaneous exchange or barter of goods in which neither party gives an undertaking of any kind with respect to the subject matter of the exchange does not include a potentially enforceable promise and is

1 As we shall see, a limited number of types of agreements must be recorded in writing if they are to be legally enforceable. See Chapter 6, Section B.

2 See Chapter 7, Section C.

therefore not a contract in the requisite sense. Further, statements of present fact do not constitute promises though, as we shall see,³ the distinction between representations or statements of fact, on the one hand, and promises, on the other, is both difficult to draw and highly manipulable. This is not to say that a false statement of current fact is of no legal interest.⁴ It is merely to say that a statement of current fact is not a promise in the requisite sense. As a legal term of art, “contracts” refers to the universe of legally enforceable promises. The law of contracts, then, is the law relating to the enforcement of promises.

1) The Plan of This Work

A brief survey of the content of the law of contracts may be accomplished by outlining the plan of this work. This volume is subdivided into six parts dealing, in turn, with (1) the formation of agreements, (2) the rules for recognizing their enforceability at law, (3) grounds for setting aside or vitiating agreements that would otherwise be enforceable, (4) performance and breach of contracts, (5) principles of interpretation of agreements, and (6) the remedies available for breach of contract.

A threshold question for the law of contracts is to determine whether the parties have reached agreement on the particulars of the promises that are sought to be enforced. A variety of issues relating to the formation of contracts are examined in Part One of this volume. The basic rules for determining whether the parties have reached an agreement on certain terms—the rules of “offer and acceptance”—are examined in Chapter 2. Even though the parties may have reached a genuine agreement or consensus *ad idem* on certain matters, the terms of their agreement, if it is to be enforceable, must deal with sufficient matters to constitute a valid agreement. Otherwise, the agreement will fail for incompleteness or uncertainty. This issue is considered in Chapter 3. Further, even though the parties reach consensus on sufficient matters to constitute a valid agreement, it may not have been their intention to create an enforceable agreement. The relevancy of such an intent is explored in Chapter 4. In recent years, some courts have suggested the possibility that parties negotiating toward an agreement may be subject to a duty to bargain in good faith. The possible content of such a duty and the current status of any such doctrine are examined in Chapter 5. Part One concludes in Chapter 6 with an examination of various issues concerning the formation of agreements in writing.

³ See Chapter 18, Section B.

⁴ Thus, the inducement of contracts by the making of false statements may give rise to certain remedies. See Chapter 10.

First, the nature and effect of various statutory requirements that certain types of agreements be recorded in signed writing are examined. Second, the problem of determining whether written terms included in a document — an airline ticket, for example — that one party intends will form the basis of the agreement between the parties should be considered to be binding upon the other party. Third, consideration is given to the problem that arises where a particular written document may appear to constitute the agreement between the parties, but one of the parties wishes to rely on an undertaking given either orally or in another document by the other party. The parole evidence rule holds that, as a general proposition, evidence of undertakings not recorded in a document intended to be the full expression of the agreement between the parties is inadmissible.

In Part Two, we consider the question of whether the promises given by one or both parties are the kinds of promises that the law should consider to be enforceable. This is evidently an issue of central importance for the law of contracts. As we shall see, there are essentially two “rules of recognition” for identifying enforceable promises and distinguishing them from promises that do not attract the enforcement mechanisms of the law. The first rule is the venerable doctrine of consideration, which holds that a promise as contained in a bargain or exchange between the parties is enforceable. The second holds that “deeds” or “contracts under seal” are enforceable simply on the basis that they have been executed by the promisor in accordance with the formal requirements for executing instruments or documents under seal. These doctrines are examined in Chapter 7. Apart from contracts under seal, then, the common law recognizes as enforceable only those promises given in return for a bargained-for consideration or exchange of value. Thus, promises unsupported by a consideration are unenforceable even if they have foreseeably induced detrimental reliance on the part of the promisee. The limited effect that may be given to non-bargain promises inducing detrimental reliance through the doctrines of waiver and promissory estoppel is examined in Chapter 8. Finally, in Chapter 9, we examine the doctrine of privity of contract, which holds that third parties who are intended to be benefited by contracts but who have given no consideration or value in return to the promisor — third-party beneficiaries — have no standing to enforce the agreement. Although this controversial doctrine has been justified as a corollary of the doctrine of consideration, this explanation for the rule will be subjected to critical scrutiny in that chapter.

In Part Three, a variety of grounds for vitiating or rendering unenforceable what might otherwise be considered to be valid and

enforceable agreements are subjected to analysis. The first four of these grounds for vitiation are concerned with remedying defects in the bargaining process. Chapter 10 considers the effect on the enforceability of an agreement when a party has been induced to enter it by a misrepresentation of a material fact by the other party, whether that representation has been fraudulently or innocently made. Various doctrines concerning the voluntariness of agreements—duress, undue influence, and unconscionability—are then considered in Chapter 11. In Chapter 12, the limitations imposed on the ability of parties to enter into enforceable agreements by considerations of public policy, whether the public policy is articulated by the courts or the legislatures, will be examined. In Chapter 13 consideration is given to the effect on enforceability of various types of mistakes that might have affected a party's decision to enter into an agreement, be it a mistaken assumption concerning either one or both of the parties' reasons for entering the agreement, a mistake as to the meaning of the terms of the agreement, or a mistake with respect to the writing up of the agreement. Finally, in Chapter 14, an analysis is provided of the doctrine of frustration that may provide an excuse for non-performance by a party where unanticipated intervening circumstances—in the classic case, where a work in progress is destroyed by fire—have compromised that party's ability to perform the agreement.

In Part Four, various issues relating to the performance or non-performance of an enforceable agreement are considered. First, in Chapter 15, the definition and significance of a repudiatory breach is examined. The central issue is to determine whether a particular breach of contract enables the party not in breach to terminate the contractual relationship and, if loss has resulted from the breach, pursue appropriate remedies for breach of contract. As will be seen, in determining whether a particular breach has this effect, the law also determines the order in which the performance of the parties is to occur. Both of these sets of issues are examined in Chapter 15. In Chapter 16, we turn to consider the effect that an announcement made by a party, prior to the time for performance, that performance will not be forthcoming has on the ability of the other party to treat the agreement as repudiated by breach. This, the so-called doctrine of anticipatory repudiation, is the subject of Chapter 16. In Chapter 17, we continue our examination of contractual arrangements that order performance and, in particular, consider the effect of provisions that stipulate that performance of either one or both of the parties will not be required until an event occurs—such as the granting of necessary approval of the arrangement by a governmental authority—that is beyond capacity of the parties to

achieve or, as is often said, is “entirely dependent upon the will of third parties.” Finally, in Chapter 18, the effect of warranties is examined. In this particular context, the term “warranty” is employed to refer to an undertaking or guarantee that a particular statement of fact is true or will continue to be true or will become true on a particular future occasion. More particularly, consideration will be given to the question of whether pre-contractual representations may be considered to have contractual force as “warranties.” Further, we will examine the remedial consequences that arise if the warranted facts prove to be false, thus constituting a basis for an assertion that the contractual warranty of their truth has been breached.

In Part Five, the principles employed by courts in the course of interpreting or construing agreements are examined. The most common context in which these principles are employed is in the course of giving meaning to the provisions of an existing agreement that lacks clarity. Knowledge of the principles of interpretation of agreements is also very relevant, of course, to the task of drafting agreements with a view to ensuring that the drafter’s intended meaning is the meaning that the agreement would ultimately be given by a construing court. In Chapter 19, we examine the general principles of interpretation. These principles concern the materials that can be examined by the construing court, the principles or canons of construction that will be relied upon and, finally, the various grounds upon which terms will be implied in order to fill gaps in agreements. In chapters 20 and 21, we take up two particular interpretive issues that have generated substantial bodies of caselaw. In Chapter 20, the law concerning the interpretation of exculpatory or limitation of liability clauses is examined. In Chapter 21, the now substantial body of caselaw implying terms into agreements that will require a party to perform the agreement in “good faith” is subjected to analysis. As Canadian common law courts have now recognized the existence of such an implied duty as a general principle of contract law, an attempt is made in Chapter 21 to give some content, drawn from the cases employing the concept, to the notion of good faith.

In Part Six, an account is offered of the various remedies available to a victim of a breach of contract. The principles underlying the most commonly awarded form of relief—the claim for damages for breach of contract—are analyzed in Chapter 22. The grounds on which the much less commonly awarded forms of specific redress—specific performance and injunctions—which order the party in breach either, in the former case, to do that which was promised to be done or, in the latter, not to do that which was promised not to be done under the

agreement are examined in Chapter 23. Finally, in Chapter 24, consideration is given to the various forms of relief that may achieve recovery of benefits acquired by the defendant in breach of contract. The fundamental differences between the benefit-based or restitutionary liability considered in Chapter 24 and the compensatory relief awarded in the context of claims for damages for breach of contract will be further considered in an introductory fashion in “Contract, Tort, and Restitution” later in this chapter.⁵

2) A Study of the General Principles of Contract Law

As with other works of the same or a similar title to the present, this volume attempts an analysis of the general principles of the law of contracts as opposed to the specific principles that may apply to particular types of transactions. As illustrations of the latter category, it may be noted that some more particularized rules have developed in the context of particular transaction types such as contracts for the purchase and sale of goods, insurance contracts, contracts of employment, leases of both real property and chattels, bills of lading and other contracts of carriage, charter parties, construction contracts, contracts of suretyship or guarantee, contracts of agency, contracts for the purchase and sale of land, and so on. Separate texts are often published with respect to transactions of these various kinds and courses specifically devoted to the study of many of them are found in the curricula of the law schools. In a study of the general law of contracts, however, the objective is to identify and analyze principles that apply across many of the subfields or specialized areas of contract law. By way of illustration, an attempt is made in the present volume to examine general principles of contract interpretation, including the principles on the basis of which terms are implied in agreements. No attempt is made, however, to catalogue or discuss the various implied terms made in the various transaction types listed above. Similarly, the general principles of the law of damages are examined herein. No attempt is made to examine the more particular applications of those principles that may have developed in the context of particular transaction types. It should be noted, however, that some tension is likely to exist between the general principles and the more particularized principles that have developed in the context of individual transaction types. The particularized rules may be vulnerable to challenge on the basis that the particular deviation from general principle is not one that can be justified on a rational

⁵ See Section C, below in this chapter.

basis. Thus, for example, in the latter part of the twentieth century, the Supreme Court of Canada re-examined the rules relating to the damages that can be claimed for breach for the lessee's obligation to pay rent under leases of chattels or real property. As we shall see,⁶ the Supreme Court of Canada simply overruled prior doctrine and applied the general principles for calculating damages for breach of contract to claims for losses resulting from the non-performance of this type of provision.

3) The Three Meanings of “Common Law”

This volume attempts an analysis of the law of contracts as it has developed in the Canadian common law provinces. The term “common law” has three distinct meanings, each of which is relevant to the exercise of describing the subject matter of the present work. First, the phrase is used to refer to the common law as opposed to the civilian tradition. The present volume does not include an account of the civilian contract law of the province of Quebec. The contract law of the common law provinces derives from and is much influenced by the English common law tradition. Indeed, until the abolition of appeals from Canadian courts to the Privy Council in England in 1949⁷ the English common law of contracts, subject to variation by any local Canadian statutes, was binding on Canadian courts. Since 1949, however, the influence of English judicial decisions on Canadian jurisprudence has waned, and it is quite clear that the contemporary Supreme Court of Canada does not feel in any sense obliged to follow English authority. The Court has assumed, as properly it should, that its mandate is to develop the law of contracts and other aspects of the law in the manner that it deems best suited to the needs arising from Canadian circumstances.⁸ Nonetheless, Canadian courts continue to draw much assistance from English decisions on matters of common law and typically, in the absence of some basis for concluding that English law is different from Canadian law, English authorities are frequently relied upon as a reliable though not binding source of Canadian common law doctrine.

The term “common law” is also used to refer to judge-made law as opposed to laws generated by legislative enactment. For the most part, the general principles of contract law are common law in this sense. The general principles and the detailed rules are derived from

6 See Chapter 22, Section B(2).

7 See generally B Laskin, “The Supreme Court of Canada: A Final Court of and for Canadians” (1951) 29 Can Bar Rev 1038.

8 See, for example, *Whiten v Pilot Insurance Co*, [2002] 1 SCR 595; *Wallace v United Grain Growers Ltd*, [1997] 3 SCR 701.

the reasons for decision given by judges in the adjudication of contract disputes. As in other Western democracies, the law produced by judicial decision-making on matters such as the law of contracts is subject to the trump of legislative enactment. In Canada, provincial legislators are possessed of a constitutional authority to enact legislation setting forth or amending the general principles of the law of contract. With very few exceptions, however, they have refrained from doing so. Reference has already been made to legislative rules requiring certain transactions to be recorded in a signed writing.⁹ As a general matter, however, the other statutory treatments of various general principles of contract law are very few in number and tend to be quite narrowly focused on rather particular issues.¹⁰ Far more common is the legislative practice, both provincially and federally, of enacting statutes regulating the content of particular transaction types such as legislation dealing with aspects of contracts of employment, contracts for the purchase and sale of goods, insurance contracts, real estate transactions, and so on. Such legislation may either stipulate the terms deemed to be included in a particular transaction type or, more commonly, may establish default rules setting out provisions that will be deemed by statute to be included in such agreements in the absence of contrary or inconsistent stipulations in the agreements themselves. For the most part, such legislation is not discussed in the present volume, given its objective of providing an account of general principles, but will be referred to from time to time as relevant to an examination of more general issues. In particular, it will be important, from time to time, to draw attention to various aspects of consumer protection legislation enacted in some provinces that are of broad application across a range of transaction types entered into by consumers with commercial suppliers of goods and services. The common law nature of the vast majority of the law concerning general principles of the law of contracts, however, has important implications for the manner in which the conflicting demands for stability of doctrine and, on the other hand, reform or modification of the doctrine are managed by the common law system. This is, of course, a more general set of issues for common law subjects, including the law of contracts, torts, restitution, property, and

9 See Chapter 6, Section B.

10 See, for example, the discussion of the statutory overruling of the rule in *Foakes v Beer* in a number of Canadian provinces and territories, Chapter 7, Section B(4). See also, for reference to the statutory overruling of *Turney v Zhilka* in British Columbia, Chapter 17, Section D, and for reference to the statutory overruling of the doctrine of privity of contract in New Brunswick, Chapter 9, Section B.

trusts. We will return to a brief consideration of these systemic issues of continuity and reform in a later part of this chapter.

Finally, the term “common law” is used to refer to doctrines of common law as opposed to those of equity. The division of English common law into doctrines of common law in this narrower sense and equity is an idiosyncratic feature of the English common law tradition that has implications for the content of the common law of contracts. To this subject, we now turn.

B. COMMON LAW AND EQUITY

For outsiders to the common law system, it is no doubt a startling fact that until the latter part of the nineteenth century, the central institutional framework of the English legal system consisted of not one court system but two. The Royal Courts of common law—King’s Bench, Common Pleas and Exchequer—developed a body of jurisprudence that has come down to us as common law in the narrow sense. For much of the history of the common law, however, there was a parallel court system, the Court of Chancery, which developed the jurisprudence referred to, at least for the past few centuries, as “equity.”

The origins of equity jurisprudence are to be found in the medieval office of the Chancery, that is, the royal secretariat, and in the residual authority claimed by the King, in the early era, to administer justice personally outside the system of the common law courts.¹¹ Those who were dissatisfied with their treatment at common law could petition the King for relief. By the fourteenth century, the volume of such petitions or bills was such that the practice of referring them to the Chancellor had begun. The Chancellor possessed a discretion to intervene in such situations by decree and by the end of the next century issued such decrees in his own name. For present purposes, it is not necessary to record the detail of the evolution of Chancery jurisdiction from the *ad hoc* and discretionary interventions of the Chancellor to the establishment of a court system and, in turn, to the establishment of that body of jurisprudence that came to be called “equity.” The historical origins of equity jurisprudence, however, assist in explaining the fact that its role was largely seen as being a corrective to the harshness of the common law. In 1615, the presiding Chancellor explained: “the office of the

11 See generally JH Baker, *An Introduction to English Legal History*, 4th ed (London: Butterworths LexisNexis, 2002) ch 6 [Baker]. See also S Worthington, *Equity* (Oxford: Oxford University Press, 2003).

Chancellor is to correct men's consciences for frauds, breaches of trust, wrongs and oppressions of what nature soever they be, and to soften and mollify the extremity of the law."¹²

For petitioners, the attractions of Chancery were not only that they might achieve different results from that attainable at common law. In the early period at least, Chancery procedures were less cumbersome than those of the common law. The Chancellor could grant decrees ordering parties to do whatever conscience required rather than as, at common law, merely ordering the payment of damages. Indeed, it should be noted that Chancery did not, as a general matter, award damages or compensation in the manner of the common law courts. "Damages" was a remedy of the common law. Over time, the role of discretion and conscience diminished as equity jurisprudence matured into a system of rules and precedent. Chancery cases began to be reported in the late-seventeenth century. The first text on equity appeared in 1727¹³ and by the opening of the nineteenth century the doctrines of equity, like the doctrines of common law before them, had hardened into legal principles and rules. Nonetheless, the oddity remained that England had two systems of jurisprudence, not one, and that a central mandate of one was to correct defects in the other.

Ironically, the growth of equity jurisprudence was coupled with a deterioration in the procedural side of equity.¹⁴ By the nineteenth century, the expense and delay of proceedings in equity had long been a subject of notoriety and led to substantial reforms. These reform measures culminated ultimately in the enactment of the *Judicature Acts* of 1873 and 1875, which had the effect of merging the two systems into one court, albeit a court that retained separate divisions for common law and equity, as it does, indeed, to the present day. Nonetheless, all the judges of England can apply both common law and equity and the two systems, from a procedural point of view at least, have been fused together. Equitable principles are applied when the matter is one for equity and are not applied when the matter is by tradition one resolved exclusively by common law doctrine. Equity remains a legal subject in the sense that there are modern textbooks on equity in England¹⁵

12 *Earl of Oxford's Case* (1615), 1 Rep Ch 1 at 6.

13 R Francis, *Maxims of Equity* (London: J Stephens, 1727).

14 Baker, above note 11 at 111–15.

15 J Glister & J Lee, eds, *Hanbury and Martin, Modern Equity*, 21st ed (London: Sweet & Maxwell, 2018); J McGhee, ed, *Snell's Equity*, 33d ed (London: Sweet & Maxwell, 2014).

and Australia¹⁶ that are kept current in revised editions. Moreover, from time to time, one sees evidence in the jurisprudence of a resort to equity or equitable principles to fashion solutions to problems presented by the perceived inadequacies of common law doctrines.

Similar procedural reforms were achieved, often at a much later stage, in the common law jurisdictions of North America. Separate courts of equity have disappeared from all of the Canadian common law provinces and almost all of the United States. The eclipse of equity, as an academic subject or separate discipline, however, is peculiar to North American jurisdictions. Equity, as a discrete subject or discipline, has simply disappeared from the curricula of the law schools. There are no currently maintained Canadian or American texts on equity jurisprudence as such.¹⁷ Although the disappearance of equity as a discipline or legal subject is a source of disappointment for traditionalists, the reasons for its disappearance are not obscure. The fact that a body of doctrine developed in a particular court system is, of course, of great historical interest. In North America, however, this no longer seems to be accepted as a suitable analytical framework for a coherent subject or division of the law. Nonetheless, the doctrines of equity persist and they are studied and written about in the context of subjects where they continue to play an important role. The law of contracts derives from both common law and equitable sources and is constituted, therefore, by an intermingling of common law and equity doctrines. An examination of the law of contracts thus requires an understanding of the relationship between common law and equity jurisprudence. Moreover, as the fusion of common law and equity has been procedural rather than substantive, the contemporary lawyer must maintain a familiarity with the historical origins of various aspects of the law of contracts and the basic differences between common law and equity jurisprudence.

A fundamental point concerning the relationship between the two bodies of doctrine derives from the curative role of equity. In the event of conflict between a common law doctrine and an equity doctrine, the equity doctrine prevails.¹⁸ Thus, for example, if an agreement is of such a nature that it would be considered to be enforceable as a matter

16 R Meagher, W Gummow & J Leane, *Equity: Doctrines and Remedies*, 5th ed (Sydney: LexisNexis, 2014).

17 There are Canadian texts on particular aspects of equity. See, for example, J Berryman, *The Law of Equitable Remedies*, 2d ed (Toronto: Irwin Law, 2013); RJ Sharpe, *Injunctions and Specific Performance*, 3d ed (Aurora, ON: Canada Law Book, 2000).

18 This basic proposition was enshrined in the English *Judicature Acts* and is typically set forth in courts' administration legislation in the common law provinces. See, for example, *Courts of Justice Act*, RSO 1990, c 43, s 96(2).

of common law, but unenforceable as a matter of equity, the equity doctrine prevails. Further, it is essential to understand the differences between equitable and common law doctrines on questions such as the enforceability of agreements. If the agreement is unenforceable in equity, the equitable nature of the rule rendering the agreement an unenforceable one is a matter of significance. If an agreement is unenforceable on the ground that it has been induced, for example, by an innocent misrepresentation¹⁹ or by undue influence exercised by the other party,²⁰ the agreement is subject to an equitable order or decree of “rescission,” which has the effect of setting aside the agreement. There is no precise parallel to this type of remedy at common law and, moreover, the equitable remedy is available only on the basis of principles established in the equity jurisprudence. Thus, equitable principles or defences to rescission claims that are peculiar to equitable doctrines may apply and preclude this form of relief. In such a case, the agreement would remain enforceable as a matter of common law and, in the event of a breach of the agreement, a claim for common law damages for breach of contract could be pursued. Where agreements are unenforceable as a matter of common law doctrine, the equitable remedy and the applicable equitable principles and defences are inapplicable as a matter of common law. Whether a contract that is unenforceable at common law might also be subject to a decree of rescission in equity is not a question that admits of an easy or uniform response. In short, the tests for unenforceability and the consequences of unenforceability are different, depending on whether the doctrine rendering the agreement unenforceable is a matter of common law or equity.

Similarly, courts of equity developed what are sometimes referred to as the *in personam* or personal remedies of specific performance and injunctions as an alternative remedy to the damages claim that is typically available as a matter of common law.²¹ An equitable decree of specific performance, for example, orders a promisor specifically to perform or carry out a promise set out in an enforceable agreement. Again, this form of relief, being equitable in nature, is subject to equitable principles and equitable defences of various kinds that have no parallel in the context of a claim for damages at common law. In short, the remedial mechanisms of common law and equity available for breach of contract differ in important respects.

As experience outside the common law jurisdictions amply demonstrates, this doctrinal dualism is a product of historical accident and is

19 See Chapter 10.

20 See Chapter 11, Section C.

21 See generally Chapter 23.

obviously not a necessary feature of a set of laws established to facilitate the enforcement of agreements. Nonetheless, it is an enduring feature of the jurisprudence of the common law jurisdictions and a continuing source of complexity in the law of contracts of the Canadian common law provinces. The differences between common law and equity jurisprudence will be examined as they become relevant to the various topics addressed in this volume.

C. CONTRACT, TORT, AND RESTITUTION

The subdivision of the law into various branches or divisions or subjects is a matter of increasing interest to common lawyers.²² It is also a matter of some contention. Indeed, it is not entirely clear how one would define the concept of a “branch” of the law²³ nor is it clear how one would formulate the criteria for determining whether or not a particular experiment in designing or defining a branch of the law has enjoyed success.²⁴ Nonetheless, the need to make such subdivisions is an inescapable part of any attempt to examine and understand legal doctrine. Moreover, notwithstanding attendant controversies, a professional consensus has emerged in the common law world in the nineteenth and twentieth centuries, to the effect that the private law of obligations can be usefully subdivided for such purposes into the law of contracts, the law of torts, and the law of restitution or, as the last is sometimes called, the law of unjust enrichment.²⁵ A useful first step in the examination of the law of contracts, then, is to locate contract within the private law of obligations and to compare its basic conception to those of tort and restitution.

The nature of the distinction to be drawn between “public” and “private” law is also a matter of contention. Public law is generally understood to refer to laws that define the relationship between individual citizens and the state whereas private law defines the relations between

22 See generally P Birks, ed, *The Classification of Obligations* (Oxford: Clarendon Press, 1997); SM Waddams, *Dimensions of Private Law* (New York: Cambridge University Press, 2003).

23 For an interesting and illuminating attempt, see RA Samek, “Unjust Enrichment, Quasi-contract and Restitution: A Study in Organising Legal Rules” (1969) 47 Can Bar Rev 1.

24 For an interesting failure, however, see JP Bishop, *Commentaries on the Non-Contract Law* (Chicago: TH Flood & Co, 1889).

25 See A. Burrows, “Contract, Tort and Restitution—A Satisfactory Division or Not?” (1983) 99 Law Q Rev 217.

private individuals, one to another. Although the division between public law and private law is elusive, constitutional and administrative law, for example, are considered clear candidates for the category of public law, whereas contract and tort, on the other hand, are plainly within the category of private law. The private law of obligations, then, sets out the duties that private individuals owe to one another. In the common law system, those duties are typically, though not exclusively, the product of judge-made law.

At the risk of some oversimplification, the subject matter, basic animating principle, and remedial objectives of these three branches of the law may be briefly described. The subject matter of the law of contracts is the enforcement of promises. The basic animating principle of the law of contracts is *pacta sunt servanda*, that is, as a matter of general principle, promises ought to be performed. The principal remedial objective of the law of contracts is to place the victim of a breach of contract in as good a position as he or she would have been in if the contract had been performed. As we shall see,²⁶ this principle, often referred to as the expectancy principle, provides the normal basis for the calculation of damage awards in claims for breach of contract. Damages for breach of contract are thus “forward-looking” in the sense that they attempt to achieve for the victim of the breach, to the extent that an award of money can do so, the benefits of the promised performance. Thus, a seller who breaches a contract to deliver goods will be subject to a liability to pay damages in an amount that will enable the disappointed buyer to acquire equivalent substitute goods from another source.

The subject matter of the law of torts is compensation for injuries resulting from unprivileged or wrongful conduct. In its detail, the law of torts defines the nature of the unprivileged conduct that will attract tort liability and the kinds of losses that are compensable. The animating principle of the law of torts is that the wrongdoer must compensate the victim for losses resulting from the tortfeasor’s wrongful conduct. The remedial objective is compensation for the victim’s loss. Damages in a tort claim are thus “backward-looking” in the sense that they are calculated with the objective of restoring the victim to the position he or she was in before the tort occurred. In this respect, they are significantly different from the “forward-looking” measure of damages in contract. Apart from this important distinction between the remedial objectives of contract and tort, a fundamental distinction between the two bodies of doctrine is that the obligations arising under the law of contracts are, in theory at least, voluntarily assumed by the contracting

26 See Chapter 22, Section B.

parties, whereas the duties arising from the law of torts are imposed as a matter of law, regardless of the intentions or desires of the parties.

The law of contracts and, later, the law of torts were recognized in the nineteenth century as useful categories for explicating legal doctrine or, one might say, for organizing professional knowledge concerning these aspects of the law. The first treatises on contract law appeared in the early part of the century.²⁷ Books on tort law appeared only in the latter part of the century.²⁸ Recognition of the utility of the third branch of the law of obligations, the law of restitution or unjust enrichment, however, occurred only more recently. The law of restitution did not emerge until the first half of the twentieth century in the United States and gained acceptance in Canadian law after that and later still in England and Australia.²⁹ The law of restitution was essentially the invention of the American Law Institute, which published *Restatement of Restitution*³⁰ as one of a series of restatements on private law, including restatements of the law of contracts³¹ and the law of torts,³² both of which are now in their second editions. The restatements constituted an attempt to provide an authoritative but informal source of doctrine in each subject area in the hope of contributing to greater consistency of doctrinal development and application in the various American state courts. The restatements adopted the format of restating the law in propositional form, followed by analytical discussions and illustrative examples of the application of each principle. They are of considerable influence in shaping American private law.³³

27 See, for example, J Chitty, *A Practical Treatise on the Law of Contracts* (1826).

28 See, for example, F Pollock, *The Law of Torts* (Philadelphia: Blackstone, 1887). And see generally AWB Simpson, "The Rise and Fall of the Treatise" (1981) 48 U Chicago L Rev 632.

29 See generally, PD Maddaugh & JD McCamus, *The Law of Restitution*, 2d ed (Aurora, ON: Canada Law Book, 2004) ch 1–2 [Maddaugh & McCamus]. And see JD McCamus, *An Introduction to the Canadian Law of Restitution and Unjust Enrichment* (Toronto: Thomson Reuters, 2020) ch 1–4 [McCamus].

30 American Law Institute, *Restatement of Restitution, Quasi-contracts and Constructive Trusts* (St. Paul: American Law Institute, 1937) [American Law Institute]. For the earlier history of the underlying concept, see A Kull, "James Barr Ames and the Early Modern History of Unjust Enrichment" (2005) 25 Oxford J Legal Stud 297.

31 See American Law Institute, *Restatement (Second) of the Law of Contracts* (St. Paul: American Law Institute, 1981).

32 See American Law Institute, *Restatement (Second) of the Law of Torts* (St. Paul: American Law Institute, 1965).

33 See generally the papers collected in a symposium on the Institute in (1998) 26 Hofstra L Rev 567–834 and especially JP Frank, "The American Law Institute 1923–1998" at 615 of that volume.

The foundational idea upon which *Restatement of Restitution* was constructed was the insight that large volumes of common law doctrine, traditionally referred to as the law of quasi-contract, and a similarly expansive body of equitable doctrine, much of which is centred on the use of the so-called constructive trust, had a great deal in common and could usefully and coherently be restated in the form of a new legal subject. In the opening section, the authors attempted to identify the fundamental principle underlying the entire subject, the principle against unjust enrichment, in the following terms: “A person who has been unjustly enriched at the expense of another is required to make restitution to the other.”³⁴

In the manner of the other restatements, *Restatement of Restitution* then proceeds to restate the rules established in the existing jurisprudence concerning the recovery of benefits conferred by mistake, under duress or other forms of coercion, under ineffective transactions and in various other circumstances where retention of the benefit transferred to the defendant may be said to be unjust. In common with the duties imposed by the law of tort, the duties imposed by the law of restitution are essentially involuntary in nature. Duties to restore benefits conferred are imposed in order to prevent unjust enrichment. Unlike contract and tort, the remedial objective principle of the law of restitution is to effect a recovery of benefits unjustly acquired by the defendant. It may be described as “benefit-based” liability. This measure of relief is inherently different from the compensation measure of tort law and the expectation measure of contract law, both of which measure, albeit in different ways, losses suffered by the plaintiff. The measure of restitutionary relief is the value of the benefit received or obtained by the defendant.

An additional layer of complexity is added, however, when it is revealed that the benefit-based relief awarded in restitution cases is of two different kinds. In a typical case—say, the recovery of money paid to the defendant by mistake—the benefit has been transferred directly from the plaintiff to the defendant. The defendant’s gain is the plaintiff’s loss and justice requires that the money be restored to the plaintiff. We may call this a “subtraction” case. Traditionally, however, benefit-based liability has also been imposed to achieve the objective of stripping profits made by the wrongful conduct of the defendant, whether or not those profits have been secured at the direct expense of the plaintiff. An illustration may be helpful. The law of restitution is generally assumed to include the law relating to breaches of so-called fiduciary duties. In essence, such duties preclude the fiduciary, on whom the duties are

34 American Law Institute, above note 30, s 1.

imposed, from profiting through a conflict of interest with the person to whom the duty is owed. The fiduciary might unlawfully profit from a breach of duty by extracting a benefit directly from the plaintiff, the person to whom the duty is owed. In such a case, the benefit could be said to have been acquired at the direct expense of that person and its recovery could be considered to come within the “subtraction” remedial objective of the law of restitution. The fiduciary might profit, however, by engaging in profit-making activity in which revenues or profits are acquired from third parties. Where, for example, the fiduciary establishes a business that, in breach of fiduciary duty, competes with the business of the person to whom the duty is owed, the profits from the unlawful business would be derived from revenues generated by the customers of that business rather than directly from the person to whom the duty is owed. It has long been well established, as a matter of fiduciary law, that such profits are recoverable by the person to whom the duty is owed even if they cannot be said to be at the expense of that party.³⁵ The fiduciary is required to disgorge the profits and, in recent years, this measure of relief has been referred to as relief in the disgorgement measure.³⁶

Although the conceptual frameworks provided by contract, tort, and restitution identify different bodies of doctrine, it is important to appreciate that the frameworks are overlapping in the sense that an analysis of contractual doctrine cannot take place in complete isolation from tort and restitutionary analysis. Thus, many breaches of contract may also constitute tortious wrongdoing and it must be considered whether, in addition to an action for damages for breach of contract, the victim of the breach should also be entitled to bring a claim in tort. This is typically referred to as the problem of concurrent liability.³⁷ Further, where contracts have been induced by fraudulent or negligent misrepresentations, thus leading to unenforceability of the agreement either at common law or in equity, the making of the misrepresentation may constitute a tort. Again, it must be considered whether a tort remedy should be available in such circumstances.³⁸ As far as restitution and

35 See generally Maddaugh & McCamus, above note 29, Chapter 3, McCamus, above note 29, ch 1.

36 Although the foregoing paragraph sets out what I believe to be the mainstream North American consensus on the organization or scope of restitution as a legal subject, it should be noted that the taxonomy of the law of restitution is a subject that has provided much debate in recent years, especially in English legal scholarship. See, for example, P Birks, *Unjust Enrichment*, 2d ed (Oxford: Oxford University Press, 2005).

37 For discussion of which, see Chapter 18, Section E.

38 See Chapter 10, Section F.

contract are concerned, the victim of a breach of contract may be entitled to pursue, as an alternative to the claim in damages, benefit-based restitutionary relief either in the subtraction measure³⁹ or, indeed, in the disgorgement measure.⁴⁰ Moreover, where contracts are held to be unenforceable either on common law or on equitable grounds, either party may wish to seek recovery of the value of benefits conferred on the other in performance of the unenforceable agreement. Such claims are normally considered to be restitutionary in nature.⁴¹

D. CONTINUITY AND CHANGE

The fact that the general principles of the law of contracts are generated, for the most part, by judicial decisions on a case-by-case basis under the common law method has implications for the extent to which and the manner in which the law of contracts changes over time. A number of considerations weigh in favour of the continuity or stability of the doctrines of contract law. Elementary considerations of fairness and predictability, often associated with the notion of the “rule of law,” weigh in this direction. The desirability of deciding like cases in like fashion and in enabling parties to plan their affairs and predict the outcome of litigation on the basis of reasonably stable knowledge concerning the nature of the governing legal regime creates a need for stability and certainty in the law. The common law method itself creates further pressure in this direction. The doctrine of *stare decisis* or precedent, which holds that courts are bound to follow prior judicial decisions of courts higher in the judicial hierarchy than the deciding court, draws its strength from the need for stability and certainty in doctrine.⁴² Further, the fact that judicial responsibilities are being discharged by unelected judges in adjudicative processes that are not well suited to public policy formulation is likely to lead courts to be somewhat circumspect in exercising their undoubted capacity to reformulate and modify prior doctrine.⁴³ It is not surprising, then, that continuities in contract doctrine can be traced over long periods of time. Thus, the history of contemporary doctrines such as the law of consideration and

39 See Chapter 24, Section B(1).

40 See Chapter 24, Section B(2).

41 See Chapter 24, Section D.

42 See R Cross & JW Harris, *Precedent in English Law*, 4th ed (Oxford: Clarendon Press, 1991) [Cross & Harris].

43 See, for example, *Watkins v Olafson*, [1989] 2 SCR 750 at 760–61, McLachlin J.

the law of contractual performance can be traced to their origins in medieval doctrines.⁴⁴

At the same time, it is beyond serious question that courts in the common law system are the custodians of common law subjects like contracts, torts, and restitution and that it has been judicial decision-making rather than legislative reform that has dramatically transformed the common law on these subjects over time. Although judicial decision-making in the context of statutory interpretation and constitutional law, for example, is an important but perhaps secondary source of doctrine concerning such matters, in the context of other areas of the law, such as the private law of obligations, the judicial role in the production of doctrine is of central importance. Although the importance of that role is rarely trumpeted by the courts, judicial acknowledgments of the responsibility of the courts for undertaking even major reforms of private law are occasionally to be found in reported decisions. Thus, in *Kleinwort Benson Limited v Lincoln City Council*,⁴⁵ a decision of the House of Lords in which an important change to the law relating to the recovery of monies paid under mistake was achieved, Lord Goff observed as follows:

We all know that in reality, in the common law as in equity, the law is the subject of development by the judges—normally, of course, by appellate judges. We describe as leading cases the decisions which mark the principal stages in this development and we have no difficulty in identifying the judges who are primarily responsible. It is universally recognized that the judicial development of the common law is inevitable. If it had never taken place, the common law would be the same now as it was in the reign of King Henry II; it is because of it that the common law is a living system of law, reacting to new events and new ideas, and so capable of providing the citizens of this country with a system of practical justice relevant to the times in which they live. . . . When a judge decides a case which comes before him, he does so on the basis of what he understands the law to be. This he discovers from the applicable statutes, if any, and from precedents drawn from reports of previous judicial decisions. Nowadays, he derives much assistance from academic writings in interpreting statutes and, more especially, the effect of reported cases; and he has regard, where appropriate, to decisions of judges in other

44 See AWB Simpson, *The History of the Common Law of Contract* (Oxford: Clarendon Press, 1975); SJ Stoljar, *A History of Contract at Common Law* (Canberra: Australian National University, 1975).

45 [1998] 4 All ER 513 (HL).

jurisdictions. In the course of deciding the case before him he may, on occasion, develop the common law in the perceived interests of justice, though as a general rule he does this “only interstitially.” . . . Occasionally, a judicial development of the law will be of a more radical nature constituting a departure, even a major departure, from what has previously been considered to be established principle, and leading to a realignment of subsidiary principles within that branch of the law.⁴⁶

Further, the doctrine of *stare decisis* is not quite the dead weight on reform as it is sometimes assumed to be. The doctrine did not crystallize into its modern and rigid form until the late-nineteenth century.⁴⁷ In more recent decades, the highest courts in the judicial hierarchy both in England and in common law Canada have departed from the previously held view that *stare decisis* precluded even those courts from overruling prior doctrine.⁴⁸

In subsequent chapters of this volume, attention will be drawn to important decisions of the Supreme Court of Canada and other Canadian and commonwealth courts that have made significant contributions to the development of the law of contracts. As Lord Goff intimated, although such contributions are typically only “interstitial in nature,” occasionally more dramatic change is achieved. The decision of the Supreme Court of Canada in *AVG Management Science Ltd v Barwell*⁴⁹ provides a useful illustration. In this case, the Supreme Court effectively overruled the traditional English authority in *Bain v Fothergill*, which had imposed limits on the damages recoverable in the context of an innocent failure by a vendor of land to make title. The rule in *Bain v Fothergill* had stood, as an exception to the general expectancy rule concerning the calculation of damages for breach of contract, for approximately two centuries. Chief Justice Laskin, for the Supreme Court, reasoned that the social and economic circumstances that gave rise to the rule no longer prevailed, that, accordingly, this exception to the general rule was no longer defensible and that it ought therefore to be considered overruled. In reaching this conclusion, Laskin CJC made

46 *Ibid* at 534–35. See also *Trident General Insurance Company Limited v McNiece Bros Pty Ltd* (1988), 165 CLR 107 (Aust HC) at 123, Mason CJ (“it is the responsibility of this Court to reconsider in appropriate cases, common law rules which operate unsatisfactorily and unjustly”).

47 See generally Cross & Harris, above note 42.

48 See, for example, *Practice Statement (Judicial Precedent)*, [1966] 1 WLR 1234; *Reference re Farm Products Marketing Act*, [1956] SCR 198 at 212; *R v Bell*, [1979] 2 SCR 212 at 219–20.

49 [1979] 2 SCR 43. For discussion, see generally Chapter 22, Section B(2).

reference to the broad range of sources alluded to by Lord Goff, including experience in other jurisdictions and a report of the British Columbia Law Reform Commission⁵⁰ recommending statutory abrogation of the rule. Dramatic change of this kind, however, is a rare event and is typically anticipated by the development of a series of exceptions to an unattractive doctrine and the growth of a body of published criticism of the doctrine in judicial decisions, law reform studies, and academic commentary. The more likely avenues for growth of the common law of contract are through the traditional methods of extension and confinement of existing doctrines in the light of their underlying policies and rationales.

In the latter half of the twentieth century, a number of common law jurisdictions, including some Canadian provinces, established either freestanding or *ad hoc* law reform advisory committees to study the possibility of reform of various areas of the law and recommend statutory reform. It is an interesting question, then, whether the establishment of what might be referred to as a law reform commission and legislation model of law reform within many common law jurisdictions has had the effect of decreasing the importance of the role of the judiciary in producing and reformulating the basic principles of the private law of obligations. Although a careful assessment of this rather large question is beyond the scope of the present work, it may be tentatively suggested that the evidence of the last several decades suggests that there has, in effect, been no significant diminution of the role of the courts in this respect. Although law reform commissions have enjoyed considerable success in preparing reports that have enjoyed the implementation in a great range of legal policy contexts, the private law of obligations and the law of contracts in particular appears resistant to change in this form. Thus, shortly after its establishment in 1965, the English Law Commission announced, as its first project, the codification of the law of contract. Although work proceeded to the point of the production of an internal draft of the code, the project was abandoned before completion.⁵¹ The very idea of codification of contract law met with predictable resistance and it seems unlikely, in retrospect, that if the Commission

50 Law Reform Commission of British Columbia, *Report on the Rule in Bain v. Fothergill* (Vancouver: Law Reform Commission of British Columbia, 1976). Legislation implementing the Commission's recommendations had been enacted at the time of the appeal but not yet proclaimed in force. See now *Property Law Act*, RSBC 1996, c 377, s 37.

51 Although never released by the Commission, the draft has been published elsewhere. See H. McGregor, *Contract Code Drawn on Behalf of the English Law Commission* (Milan: Dott A Giuffrè Editore, 1993).

had recommended enactment of a contract code, that Parliament would have responded with alacrity.⁵² Similarly, a more modest project undertaken by the Ontario Law Reform Commission has failed to excite the legislators' imagination. The Ontario Commission published its *Report on Amendment on the Law of Contract*,⁵³ recommending statutory reform of a fairly lengthy list of aspects of the general law of contracts. The recommendations have not been implemented in provincial legislation nor does there appear to be any imminent prospect of such a development. There appear to be two reasons underlying the resilience of the common law method in matters of private law. First, this may reflect a governmental perspective of an appropriate division of labour between the legislative and judicial branches of government. Governments of the day may reasonably take the view that they have more pressing issues on their agenda than reform of various aspects of the private law of obligations. Second, the common lawyer's belief in the superiority of a precedent-based, as opposed to statute-based, private law in its ability to assimilate change and apply flexibly to unanticipated fact situations, is widely held. Both points are captured in Eisenberg's⁵⁴ masterly study of the common law method in the following terms:

The second paramount function of the courts [apart from dispute resolution] is the enrichment of the supply of legal rules. Our society has an enormous demand for legal rules that private actors can live, plan, and settle by. The legislature cannot adequately satisfy this demand. The capacity of a legislature to generate legal rules is limited, and much of that capacity must be allocated to the production of rules concerning governmental matters, such as spending, taxes, and administration; rules that are regarded as beyond the courts' competence, such as the definition of crimes; and rules that are best administered by a bureaucratic machinery, such as the principles for setting the rates charged by regulated industries. Furthermore, our legislatures are normally not staffed in a manner that would enable them to perform comprehensively the function of establishing law to govern action in the private sector. Finally, in many areas the flexible form of a judicial rule is preferable to the canonical form of a legislative rule. Accordingly, it is socially desirable that the courts should act to enrich

52 For a discussion of the commission's project, see, for example, HR Hahlo, "Here Lies the Common Law: Rest in Peace" (1967) 3 Mod L Rev 241; LCB Gower, "A Comment" (1967) 30 Mod L Rev 241; HR Hahlo, "Codifying the Common Law: Protracted Gestation" (1975) 38 Mod L Rev 23.

53 (Toronto: Ontario Law Reform Commission, 1987).

54 M Eisenberg, *The Nature of the Common Law* (Cambridge: Harvard University Press, 1988).

the supply of legal rules that govern social conduct—not by taking on lawmaking as a free-standing function, but by attaching much greater emphasis to the establishment of legal rules than would be necessary if the courts' sole function was the resolution of disputes.⁵⁵

A further concern with the law reform commission and legislation model for reforming private law doctrine arises in the context of a federal system. As recent experience in Canada illustrates, the occasional successes of this model are likely to be limited to one or a very few provinces with resulting decline in the uniformity of contract law across the common law provinces. In short, the law reform commission and legislation model appears to be incapable of delivering effective modernization of the law of contracts across the Canadian common law jurisdictions.

E. CONTRACTS AS A WORK IN PROGRESS: MODERN TRENDS

In the following chapters, an attempt is made to trace modern developments in various aspects of the law of contracts. By way of introduction to that which follows, however, it may be helpful to portray what appear to be the main features of this evolving work in progress. The following and necessarily impressionistic account is best viewed by the reader as an hypothesis that may be tested in the context of the more specific analysis of particular doctrines and problems in the chapters that follow.

Although, as intimated above, the continuities of contract law are such that important themes and doctrines in modern contract law can be traced to their medieval origins,⁵⁶ the main fault lines of modern Anglo-Canadian contract law were established in the jurisprudence of the English courts in the nineteenth century. This modernization of contract law took place under a greater degree of civilian influence than is often appreciated⁵⁷ and established a framework of analysis that is recognizable in its essentials to the modern student of contract law.

55 *Ibid* at 4–5. See also Lord Goff, “The Search for Principle” in W Swadling & G Jones, eds, *The Search for Principle* (New York: Oxford University Press, 1999) 313 at 317 [Lord Goff] (“To me, the best code is one which is not binding in law.”).

56 See the works cited in above note 44.

57 With respect to the influence of civilian jurists on the development of English contract law in the nineteenth century, see J Gordley, *The Philosophical Foundations of Modern Contract Doctrine* (Oxford: Clarendon Press, 1991); AWB Simpson, “Innovations in 19th Century Contract Law” (1975) 91 Law Q Rev 247.

Often now referred to as the classical model or classical period of contract law, the modern doctrine appears to have been established around the paradigm case of a bargain or exchange entered into by autonomous and self-interested parties who were, through the medium of exchange, building the new economic order. The appropriate role for the courts and the law of contracts, it seemed, was to refrain from interfering with the dynamic forces of economic growth and to permit the parties to give effect to their freely negotiated bargains.⁵⁸ The dominance of the freely negotiated bargain or exchange as the paradigm case around which the doctrine of contract law was ordered is manifested in the doctrine of consideration, recognizing that the promises will be enforceable only where included in a bargain. The rules on offer and acceptance were designed with a view to identifying the mutual expression of wills or *consensus ad idem* as the indispensable threshold for formation of the binding agreement. The common law, no doubt ameliorated to some extent by equitable doctrines, did not appear excessively concerned with the unfairness that might result from the inability of vulnerable people to protect themselves in a bargaining context. Thus, for example, the common law doctrine of duress was narrowly conceived. A bargain was enforceable whether or not the consideration received in return was in some sense adequate or fair.⁵⁹ The rules of contract law were often applied in a rigid and formalistic fashion even if they achieved results that, to the modern eye at least, appear indefensible.⁶⁰

If nineteenth-century contract law can be viewed as a somewhat spartan and spare reflection of the *laissez-faire* attitudes accompanying the growth of modern capitalism and the accompanying industrialization in England, a number of ameliorating trends are apparent in twentieth-century developments. Perhaps the most dominant trend is the growth of greater exposure to liability for breach of contract. Indeed, the growth of private law doctrine generally through the twentieth century appears to move in the direction of imposing a greater range of liability on parties who have caused loss or benefited at another

58 A classic and oft-quoted statement of this position is that of Jessel MR in *Printing & Numerical Registering Company v Sampson* (1875), LR 19 Eq 462 at 465 ("if there is one thing which more than another public policy requires it is that men of full age and competent understanding shall have the utmost liberty of contracting and that their contracts when entered into freely and voluntarily shall be held sacred and shall be enforced by Courts of Justice").

59 For an examination of the growth of the freedom of contract ideology and its reflection in nineteenth-century contract law, see PS Atiyah, *The Rise and Fall of Freedom of Contract* (Oxford: Clarendon Press, 1979).

60 For an illustration, see *Foakes v Beer* (1884), 9 App Cas 605 (HL), for discussion of which, see Chapter 7, Section B(4).

party's expense. With respect to the awarding of damages for breach of contract, twentieth-century contract law may be characterized by a reduction in the plaintiff's favour of the threshold test for liability for compensatory damages,⁶¹ by the granting of compensation for injuries in the form of mental anxiety or distress⁶² and, in Canada at least, by the availability of punitive damages for breach of contract.⁶³ The possible recognition of liability in the form of an accounting of profits secured by breach is only the most recent development of this kind.⁶⁴ Expansion of potential liability has also been achieved through the growth of exceptions to the doctrine of privity of contract,⁶⁵ and the imposition of a greater range of liability for misconduct through the implication of contract terms.⁶⁶ The recognition in the late-twentieth century of tort liability for negligent misstatements inducing agreements⁶⁷ has also substantially expanded the scope of potential liability. Movement in the direction of a more expansive approach to liability in the twentieth century has thus been quite pronounced.⁶⁸ Other important trends can, however, be detected. Thus, the harshness of the bargain theory has been ameliorated by the greater recognition of the importance of values relating to the fairness of transactions. Recent developments in the form of broadening the grounds for duress and undue influence and setting aside bargains resulting from unfair pressure and, in North American jurisdictions, in particular, the growth of the unconscionability doctrine are evident manifestations of this trend.⁶⁹ If the more expansive role for these doctrines may be said to have introduced greater attention to questions of moral conduct, the recent recognition in Canada of an underlying principle to perform contractual obligations in good faith would be consistent with, even if a rather substantial extension of, this trend.⁷⁰

61 See Chapter 22, Section F(2).

62 See Chapter 22, Section H.

63 See Chapter 22, Section I.

64 See Chapter 24, Section B(2).

65 See Chapter 9.

66 See generally Chapter 19, Section D.

67 See Chapter 10, Section F.

68 Grant Gilmore, writing of the equivalent to the classical theory of contract in American law, famously wrote that "the theory seems to have been dedicated to the proposition that, ideally, no one should be liable to anyone for anything. Since the idea was not attainable, the compromise solution was to restrict liability within the narrowest possible limits. Within those limits, however, liability was to be absolute." See G Gilmore, *The Death of Contract* (Columbus: Ohio State University Press, 1974) at 14.

69 See Chapter 11.

70 See Chapter 21.

At a more general and abstract level, the evolution of contract doctrine often appears to have been largely in the direction of a search for underlying principle⁷¹ and the replacement of a rigid and black-letter formulation of a rule with a restatement of the rule in terms of its underlying principle or rationale. Clear illustrations of this phenomenon are to be found in the breakdown of the traditional dichotomy between conditions and warranties in the law of performance⁷² and the replacement of the rigid pre-existing duty rule by a rule based on the principle of avoiding the enforcement of bargains resulting from unfair pressure.⁷³ Movement in a similar direction can be observed in the modern cases considering the effect of illegality⁷⁴ on agreements and the rules excusing parties from agreements on the basis of mistaken assumptions⁷⁵ and frustration.⁷⁶ Such doctrines are more open-textured and supple in their application to the great variety of fact situations to which they must apply. These developments are commonly justified on the basis that although the modernized doctrines appear unattractively flexible and therefore uncertain in their application, their virtue is that by raising to the level of conscious articulation the underlying principles for the imposition or withholding of liability, their application becomes more predictable or reckonable.⁷⁷

The forgoing account is not intended to suggest, however, that the common law of contracts is approaching a state of near perfection. On the contrary, much work remains to be done. The bargain theory of enforcement in Anglo-Canadian law, at least, remains more or less resplendent with the result that injuries resulting from detrimental reliance induced by the making of gratuitous promises remains an unsolved problem.⁷⁸ Similarly, the problems created by the doctrine of privity of contract, though hobbled by a recently recognized new exception to the doctrine, retain a capacity to produce unsatisfactory results.⁷⁹ In these and many other areas of contract doctrine, there remain imperfections and deficiencies that provide opportunities for further growth and development of the law. Moreover, the progress in the development of contract law is not necessarily made on a straight line basis. Not every innovation will be considered fruitful.

71 See Lord Goff, above note 55, especially at 316–17.

72 See Chapter 15, Section C.

73 See Chapter 7, Section B(3).

74 See Chapter 12.

75 See Chapter 13, Section C.

76 See Chapter 14, Section B.

77 See, for example, the discussion of unconscionability in Chapter 11, Section D(4).

78 See Chapter 8.

79 See Chapter 9.

The Canadian invention of the doctrine of “true condition precedent” offers a case in point.⁸⁰ Further, the opportunities for fruitful adjustment of doctrine presented by some authorities may not be exploited in subsequent cases. In short, there is no sign that the opportunities for further development of this work in progress are likely to abate in the near future. Such developments are contingent on the collective ability of the profession to identify fundamental purposes to be served by legal doctrine and the kinds of adjustments of doctrine that will more successfully align the doctrine with those fundamental objectives. The emergence of a substantial body of theoretical literature in recent decades, written from a variety of perspectives, can only be of assistance as these fundamental inquiries continue into the future.⁸¹

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80 See Chapter 17, Section D.

81 For a useful survey, see JM Feinman, “The Significance of Contract Theory” (1990) 58 U Cin L Rev 1283. And see, for example, IR MacNeil, *The New Social Contract* (New Haven: Yale University Press, 1980); C Fried, *Contract as Promise* (Cambridge: Harvard University Press, 1981); S Macaulay, “An Empirical View of Contract” (1985) Wis L Rev 465; MJ Frug, “Re-reading Contracts: A Feminist Analysis of a Contracts Casebook” (1985) 34 Am U L Rev 1065; J Wightman, *Contract: A Critical Commentary* (London: Pluto Press, 1996); RA Posner, *Economic Analysis of Law*, 9th ed (New York: Wolters Kluwer, 2014) ch 4; MJ Trebilcock, *The Limits of Freedom of Contract* (Cambridge: Harvard University Press, 1993); SA Smith, *Contract Theory* (Oxford: Oxford University Press, 2004); P Benson, *Justice in Transactions: A Theory of Contract Law* (Cambridge: Harvard University Press, 2019). Useful collections include P Benson, ed, *The Theory of Contract Law* (New York: Cambridge University Press, 2001); R Craswell & A Schwartz, eds, *Foundations of Contract Law* (New York: Oxford University Press, 1994); R Barnett, ed, *Perspectives on Contract Law* (Frederick, MD: Aspen Law & Business, 1995); AT Kronman & RA Posner, eds, *The Economics of Contract Law* (Boston: Little, Brown, 1979); G Klass, G Letsas & P Saprai, eds, *Philosophical Foundations of Contract Law* (Oxford: Oxford University Press, 2014).

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